



Qualification Programme Examination Panelists' Report

Module 11 – Financial Reporting (June 2025 Session)

(The main purpose of the following report is to summarise candidates' common weaknesses and make recommendations to help future candidates improve their performance in the examination.)

(I) Section A – Case Questions

General Comments

This case required candidates to apply their knowledge to a series of corporate transactions, moving beyond standard group accounting. The case was built around a major divestment driven by Environmental, Social and Governance ("ESG") reporting concerns. The specific technical areas tested included the accounting treatments for the disposals of subsidiaries (Questions 1(b) and 1(c)), the calculation of an impairment loss on a cash-generating unit (Question 1(a)), the application of HKFRS 16 *Leases* to a sale-and-leaseback transaction (Question 2(b)(i)), derecognition of a financial asset under HKFRS 9 *Financial Instruments* (Question 2(b)(ii)), and ESG disclosure requirements (Question 3).

The overall performance was varied, highlighting areas of both strength and opportunities for development. It was encouraging to see that many candidates performed well on current topics like ESG reporting. However, other areas proved more challenging, particularly those requiring the application of principles to complex yet practical scenarios.

Specific Comments

Question 1(a) – 12 marks

This question assessed candidates' fundamental understanding of calculating goodwill and non-controlling interests ("NCI") in accordance with HKFRS 3 *Business Combinations* and the subsequent accounting for goodwill impairment under HKAS 36 *Impairment of Assets*. Performance was satisfactory.

Most candidates demonstrated a solid grasp of the initial steps, correctly calculating the fair value of the subsidiary's net identifiable assets at the acquisition date. It was encouraging that many were able to compute the initial goodwill and NCI arising from the acquisition.



Candidates, however, demonstrated significant weakness in calculating the impairment loss of goodwill. Many struggled with the mechanics of the impairment test itself. Common mistakes involved forgetting to add goodwill as part of the carrying amount of the subsidiary when conducting the impairment assessment, and ignoring the requirement to notionally gross-up the goodwill for the impairment test as required by HKAS 36. Even candidates who correctly calculated the total impairment loss on a grossed-up basis often made further errors by recognising the full impairment loss. This indicates a failure to understand the implications of using the partial goodwill method, whereby only the parent's share of the impairment loss should be recognised against the parent's share of goodwill recorded in the consolidated statement of financial position.

Regarding the NCI balance, many candidates forgot to take into consideration the NCI's share of post-acquisition movements in the two reserves when calculating the closing balance. Furthermore, a number of candidates mistakenly allocated a share of the goodwill impairment loss to the NCI, which was incorrect in this case as the NCI was measured using the partial goodwill method.

Stronger candidates excelled by presenting clear and logical supporting work. Candidates are also reminded to follow the question's instructions carefully; in this case, providing calculations without narrative explanations was sufficient and the most efficient approach.

Question 1(b) – 12 marks

This question assessed candidates' ability to apply the principles of HKFRS 10 *Consolidated Financial Statements* to the full disposal of a subsidiary. Performance was weak, indicating that many candidates have significant difficulty with the accounting for changes in group structure.

A significant number of candidates demonstrated a critical weakness in selecting the correct accounting standard. The primary error was the inappropriate application of HKFRS 5 *Non-current Assets Held for Sale and Discontinued Operations*. Many candidates appeared to react to the word "disposal" by providing a standard analysis of discontinued operations, failing to recognise that the disposal in this case was completed on the first day of the financial year. Candidates must ground their answers in the specific details of the scenario presented, not in answers to superficially similar past examination questions.

For those candidates who correctly identified that the main task was to calculate the gain or loss on disposal, the execution was often incomplete. While most were able to correctly derecognise the closing goodwill and NCI balances calculated in Question 1(a), a common error was the failure to account for the carrying amount of the subsidiary's net assets correctly. Specifically, candidates often ignored the unamortised portion of the fair value adjustment related to property, plant, and equipment that arose on the initial acquisition.

Furthermore, many candidates demonstrated a very limited awareness of how to treat the subsidiary's other comprehensive income ("OCI") balances upon disposal. The principle of separating OCI items into reclassifiable and non-reclassifiable categories is a fundamental presentation requirement of HKAS 1 *Presentation of Financial Statements*. However, the specific guidance for determining which category an item belongs to is found within the individual accounting standard that governs it. Upon a loss of control, HKFRS 10 requires that cumulative OCI amounts that would be reclassifiable on the disposal of the underlying assets are reclassified to profit or loss. Candidates' failure to do so for the relevant reserve balance was a significant weakness.

In summary, the performance on this question reveals a critical gap between procedural knowledge and conceptual understanding. While many candidates appear comfortable with routine consolidation workings, they lack a robust grasp of the principles required to account for significant economic events, such as the disposal of a subsidiary. Future candidates must recognise that success in group accounting requires moving beyond the repetition of standard workings. A deep, principled understanding of how to account for changes in group structure is essential, as this remains a core and heavily weighted assessment area in Module 11 examinations.

Question 1(c) – 4 marks

This question assessed candidates' conceptual understanding of a disposal of shares that does not lead to a loss of control, as governed by HKFRS 10. Performance was mixed. A significant number of candidates did not attempt the question. For those who responded, most demonstrated a competent grasp of the core principle and correctly identified that such a transaction is treated as an equity transaction between the parent and the NCI.

Question 2(a) – 2 marks

Question 2(a) required candidates to define derecognition as set out from the *Conceptual Framework for Financial Reporting* ("Conceptual Framework") which was a straightforward and fundamental topic. Performance was very weak and revealed a key learning deficiency. A significant number of candidates either left the question blank or fundamentally misinterpreted the requirements. Instead of providing the principles-based definition from the Conceptual Framework, they incorrectly reproduced the specific derecognition criteria from standards such as HKFRS 9 or various asset-specific standards. This approach is incorrect, as the question asked for the overarching principle, not its application within a specific standard.

As noted in past Examination Panelists' report, such responses reveal a concerning lack of awareness of the Conceptual Framework's primary role, which is to provide the essential concepts that ensure accounting standards are coherent and principled. Without a solid understanding of this foundation, candidates' knowledge of individual standards is incomplete.

Question 2(b) – 14 marks

Question 2(b) was designed to assess candidates' analytical skills in applying accounting standards to challenging yet practical scenarios. Performance was polarised and revealed a significant gap between theoretical knowledge and practical application, with many candidates either skipping the question or providing irrelevant responses.

The first part of the question involved a sale-and-leaseback transaction that qualified as a sale. While the scenario was straightforward and provided all necessary information, two critical errors were prevalent.

A common mistake was to misinterpret the question's requirements. Despite the case explicitly confirming that the transaction qualified as a sale, many candidates devoted considerable time to incorrectly drafting an answer based on HKFRS 15 *Revenue from Contracts with Customers* to prove this point. As a crucial reminder, candidates should not re-evaluate conclusions already provided in the question unless explicitly asked to do so. Time must be invested in addressing the actual requirements.

The second, more fundamental error related to the mechanics of the calculation. Many candidates struggled to distinguish between the rights transferred to the buyer-lessor and the rights retained by the seller-lessee. This conceptual weakness in understanding the sale-and-leaseback model under HKFRS 16 led to incorrect calculations for the right-of-use asset and the gain on the transaction.

In contrast, high-scoring candidates demonstrated a logical, step-by-step approach, applying the principles correctly to arrive at the right conclusions. This question proved to be a clear differentiator between candidates with a deep, applicable understanding and those with only surface-level knowledge.

The second part of this question assessed candidates' ability to perform a step-by-step derecognition analysis for a financial asset under HKFRS 9. As with the first part, a significant number of candidates did not attempt this question.

Among those who did, many were able to arrive at the correct conclusion. However, the analysis provided was often too brief and lacked detailed reasoning. A more fundamental error, mirroring the issue in the sale-and-leaseback scenario, was a failure to apply the standard to the specific facts. Many candidates spent considerable time discussing whether the transaction qualified as a "pass-through" arrangement under HKFRS 9. This was an irrelevant line of reasoning, as the case explicitly stated that the rights to the cash flows had already been legally transferred, making the "pass-through" test inapplicable.



Collectively, the performance on both parts of this question sends a clear message, especially in an open-book examination setting. Success in application-based questions requires more than just locating the relevant standard. It demands the ability to read the case facts carefully, identify the critical information, and apply only the pertinent principles. While finding and quoting rules is a crucial first step, candidates must then develop the critical skill of *linking* accounting principles to practical business transactions. This ability to analyse and apply information remains the most significant differentiator in performance.

Question 3 – 6 marks

Question 3 required candidates to describe the disclosure requirements for employee-related issues under the *ESG Reporting Code*, as stipulated by the listing rules on a "comply or explain" basis.

Overall, performance on this question was strong. It was encouraging to see that candidates are generally well-versed in the social aspects of ESG reporting. Successful answers demonstrated a clear understanding of the framework, correctly outlining both the general disclosure requirements for employment and labour practices and the specific key performance indicators that accompany them. This indicates a strong awareness of important, contemporary reporting obligations beyond traditional financial statements.

(II) Section B – Case Questions

General Comments

The questions in this section aimed to test candidates on their conceptual understanding as well as their ability to apply their knowledge to specific situations that are commonly seen or emerging in practice.

Candidates' performance was less satisfactory when it came to applying specific details in the accounting standards, which demonstrated a weak understanding of the topics tested. On some occasions, it appeared that candidates were not aware of the relevant standards even when the exam was open book. This led to superficial answers by merely copying general requirements of the accounting standards without applying the relevant standards.

Candidates who scored high marks were able to present their answers logically and concisely, with their answers being supported by the accounting standards. In order to facilitate markers in awarding marks, candidates are strongly recommended to write legibly, especially for essay type questions. Structured presentation of answers not only increases ease of understanding but also helps candidates arrive at the appropriate conclusions.

Overall, performance in this section was less than satisfactory.



Specific Comments

Question 4(a) – 8 marks

This question required candidates to analyse whether the company correctly accounted for the exchange of property, plant and equipment in accordance with the relevant requirements under HKAS 16 *Property, Plant and Equipment*, with a focus of analysing whether the exchange transaction has commercial substance.

Many candidates were able to apply the relevant accounting standards and concluded that the exchange transaction had commercial substance based on the given background information. In order to score a higher mark, candidates should also analyse and discuss clearly that the extent of the cash flow projections of the underlying asset would have been changed as a result of the exchange transaction, even though the fair values of the incoming and outgoing assets are the same, which fewer candidates were able to do so. On the other hand, some candidates wrongly considered that the transaction was within the scope of HKFRS 15 *Revenue from Contracts with Customers* instead of HKAS 16. It should be noted that revenue is defined under Appendix A of HKFRS 15 as "income arising in the course of an entity's ordinary activities", which is not the case for this question.

The performance on this question was less than satisfactory.

Question 4(b) – 7 marks

This question required candidates to measure the fair value of a property when its highest and best use is not the current use due to the redevelopment plan in contemplation in accordance with HKFRS 13 *Fair Value Measurement*.

Most candidates were able to apply the relevant accounting standards and point out that fair value measurement of a non-financial asset is based on the highest and best use from the perspective of market participants. Some candidates wrongly answered that the highest and best use assessment is an entity-specific concept, and the current use will always be the highest and best use.

The performance on this question was good.

Question 5(a) – 6 marks

This question required candidates to identify the cash-generating unit for the purpose of impairment assessment in accordance with HKAS 36 *Impairment of Assets*, when a business operation manufactures and sells intermediate goods for further production of another business operation within the same entity.

Many candidates were not aware of, or might not have a good understanding of, the relevant accounting requirements under HKAS 36. They wrongly answered that Factory A and Factory B should be treated as a single cash-generating unit, on the basis that Factory A did not sell goods externally, and therefore were not able to score most of the marks in this question. Nevertheless, top candidates were able to identify Factory A and Factory B were two cash-generating units on their own and went further to discuss that adjustment on the internal transfer price is required in order to arrive at the appropriate amount of value in use of Factory A. Candidates are reminded that based on the relevant requirements under HKAS 36, if an active market exists for the output produced by an asset or group of assets, that asset or group of assets shall be identified as a cash-generating unit, even if some or all of the output is used internally.

The performance on this question was less than satisfactory.

Question 5(b) – 6 marks

This question required candidates to determine whether to include or exclude cash inflows or outflows in relation to different events, including (1) replacement of component (2) expected upgrading of machineries and (3) restructuring plan already committed as of reporting date, when preparing cash flow projections used in value in use assessment in accordance with HKAS 36 *Impairment of Assets*.

Candidates generally demonstrated a thorough understanding of the questions when answering items (1) and (2). In contrast, candidates' performance in answering item (3) was poor. While almost all candidates were able to point out the fact from the background information, almost no candidate was able to articulate that cash outflows that relate to obligations that have been recognised as a recognised liability (restructuring provision in this case) should not be included in value in use calculation, and only the relevant expected cash inflows or cost savings would be included.

The overall performance on this question was good.

Question 5(c) – 7 marks

This question tested candidates ability to calculate the impairment recognised on a cash-generating unit and allocate the impairment to the relevant underlying assets as appropriate, and advise whether the impairment on the assets was recognised at the individual asset level or cash-generating unit level, in accordance with HKAS 36.

While many candidates were able to identify that the recoverable amount is the value in use at the cash-generating unit level impairment testing, and that HK\$500,000 is the amount of the impairment that is required to be recognised, some of them did not present their analysis in their answers clearly to explain why no impairment was impaired on any underlying assets at individual asset level impairment testing, which also formed a major part of the answer. This appeared to indicate that some candidates might have a misconception that as long as an entity has identified a cash-generating unit which consists of more than one underlying assets and value in use is taken as the recoverable amount, impairment would be recognised and allocated



among all the underlying assets, regardless of the fair value of each underlying asset. This was evidenced by the answers of some candidates in which impairment losses were allocated to the plant and machineries which had their fair values greater than their carrying amounts.

The performance on this question was fair.

Question 6(a) – 3 marks

This question required candidates to evaluate whether an operation should be classified as held for sale in light of a committed sale plan in accordance with HKFRS 5 *Non-current Assets Held for Sale and Discontinued Operations*.

Candidates were generally able to score good marks by applying the relevant requirements and correctly determined that the entity should not classify Site K as held for sale as of 31 December 2024.

The overall performance of this question was good.

Question 6(b) – 5 marks

This question required candidates to evaluate and explain whether the entity should recognise provision for its closure plan in accordance with HKAS 37 *Provisions, Contingent Liabilities and Contingent Assets*.

Candidates were generally able to score good marks by applying the relevant requirements and correctly determined that the entity should recognise a provision in respect of its closure plan, although some candidates focused on analysing whether a present obligation existed but did not further analyse whether there would be a probable outflow of economic resources or whether a reliable estimate could be made of the amount of obligation, thereby failing to score some marks.

Overall, the performance on this question was good.

Question 6(c) – 9 marks

This question required candidates to advise and explain the accounting treatment for the compensation arrangements with the employees, including classification, measurement and recognition of termination benefits and short-term employee benefits, upon the implementation of the disclosure plan in accordance with HKAS 19 *Employee Benefits*.



The overall performance on this question was poor. While most of candidates attempted the questions, candidates who scored low marks wrongly considered that the classification and measurement of compensation arrangements fall within the scope of HKAS 37 as part of restructuring provision (although the timing of the restructuring provision determines the timing of the recognition of the compensation), thereby focusing on elaborating on the recognition criteria under HKAS 37 and gave their answers in a way similar to answering Q6(b). On the other hand, some candidates misunderstood the question and wrongly considered that the amount of HK\$180,000 did not form part of the total compensation of HK\$300,000, resulting in wrong numbers used in answering the question.

(III) Conclusion and Recommendation

Section A

The core message from previous Examination Panelists' reports remains highly relevant: this examination emphasises logical reasoning, analytical skills, and a solid grasp of practical accounting issues. In an open-book examination setting, success requires moving beyond simply locating standards. The challenge lies in the analytical application of standards to complex yet practical case scenarios. Candidates are encouraged to develop well-reasoned explanations that link the specific facts of a case to the pertinent accounting principles. Paying careful attention to the question requirements will provide this roadmap. Ultimately, developing the higher-order skill of applying theory to practice is what distinguishes a successful candidate and remains the most critical area for future focus.

Section B

Overall, the performance of the candidates was less than satisfactory.

Module 11 focuses more on the application of financial reporting knowledge in realistic professional settings and requires candidates to exercise professional judgment in evaluating accounting issues within the examination scope to provide advice on the most appropriate treatment.

Although this is an open book examination and candidates are not expected to be able to recite everything from the accounting standards, this does not relieve the responsibilities of the candidates of getting an in-depth understanding of the accounting standards in order to apply them to various scenarios readily during the examination.



It is commonly observed that in answering the questions, candidates tended to list out a lot of accounting standards, without further elaborating and linking the relevant requirements to the specific fact pattern of the questions. Candidates should not expect that good marks can be scored by merely copying materials from the reference book to the answer without articulating a proper elaboration and analysis; it is also well observed that answers from top candidates are written concisely and presented logically.

Candidates are also highly recommended to read the question requirements carefully before answering, which is an important step for candidates to answer the questions in a logically and accurately and to avoid elaborating on unnecessary details.